Note 10 – Income Taxes

In 2009 the Company recognized current income tax expense of $96, state income tax expense of $26, and a net deferred income tax expense of $147. The net deferred income tax expense is primarily due to a decrease in estimate of the tax effect of available tax loss carryforwards expected to be utilized in the 2010 year. In 2008 the Company recognized a net deferred income tax expense of $125 as a result of a reversal of a deferred income tax recovery of $1,000 recorded in 2007 offset by an additional net deferred income tax recovery of $875 with respect to the tax effect of available tax loss carry forwards expected to be utilized in 2009. The reported tax benefit varies from the amount that would be provided by applying the statutory U.S. Federal income tax rate to the income (loss) from continuing operations before taxes for the following reasons:

	2009	2008	2007
Expected federal statutory tax expenses (benefit)	$ (339)	$ 2,028	$ (554)
Increase (reduction) in taxes resulting from:			
State income taxes	26	—	—
Current income tax expense	96	—	—
Non-deductible insurance premium	31	51	51
Change in valuation allowance attributable to continuing operations, net	446	(1,966)	(508)
Other	9	12	11
Deferred income tax expense (recovery)	$ 269	$ 125	$ (1,000)

The net change in the valuation allowance (after adjusting for changes in estimates to uncertain tax positions), including discontinued operations, was an increase of $446, a decrease of $1,961, and a decrease of $668 for the years ended 2009, 2008 and 2007, respectively.

At December 31, 2009, after derecognizing uncertain tax positions as described below, the Company had total net operating loss and net capital loss carryforwards for federal income tax purposes of approximately $87,800 and $34,600 respectively. The Company believes that it is more likely than not that it will utilize at least approximately $2,144 of these tax losses against estimated future income for tax purposes. The net operating loss carryforwards expire between 2024 and 2029. The net capital loss carryforwards expire in 2010 and 2011.

The Company's utilization of approximately $33,350 of its available net operating loss carryforwards against future income for tax purposes is restricted pursuant to the "change in ownership" rules in Section 382 of the Internal Revenue Code. These rules, in general, provide that an ownership change occurs when the percentage shareholdings of 5% direct or indirect stockholders of a loss corporation have, in aggregate, increased by more than 50 percentage points during the immediately preceding three years.

Restrictions in net operating loss carryforwards occurred in 2001 as a result of the acquisition of the Company by Counsel. Further restrictions may have occurred as a result of subsequent changes in the share ownership and capital structure of the Company and Counsel and disposition of business interests by the Company. Pursuant to Section 382 of the Internal Revenue Code, the annual usage of the Company's net operating loss carryforwards was limited to approximately $2,500 per annum until 2008 and $1,700 per annum thereafter. There is no certainty that the application of these "change in ownership" rules may not recur, resulting in further restrictions on the Company's income tax loss carry forwards existing at a particular time. In addition, further restrictions, reductions in, or expiry of net operating loss and net capital loss carryforwards may occur through future merger, acquisition and/or disposition transactions or failure to continue a significant level of business activities. Any such additional limitations could require the Company to pay income taxes on its future earnings and record an income tax expense to the extent of such liability, despite the existence of such tax loss carryforwards.

The Company is subject to state income tax in multiple jurisdictions. While the Company had net operating loss carryforwards for state income tax purposes in certain states where it previously conducted business, its available state tax loss carryforwards may

differ substantially by jurisdiction and, in general, are subject to the same or similar restrictions as to expiry and usage described above. In addition, in certain states the Company's state tax loss carryforwards which were attributable to the business of WXC Corp. ceased to be available to the Company following the sale of the shares of this company in 2006. It is possible that in the future, the Company may not have tax loss carryforwards available to shield income which is attributable to a particular state from being subject to tax in that particular state.

The components of the deferred tax asset and liability as of December 31 (after derecognizing uncertain tax positions) are as follows:

	2009	2008	2007
Net operating loss carry forwards	$ 29,859	$ 28,420	$ 29,968
Net capital loss carry forwards	11,788	11,691	11,835
Acquired in-process research and development and intangible assets	653	972	1,343
Stock-based compensation	118	105	88
Start-up costs	35	—	—
Accrued liabilities	7	7	7
Reserve for accounts receivable	2	2	2
Other	363	17	57
Valuation allowance	(42,096)	(40,339)	(42,300)
Total deferred tax assets	729	875	1,000
Deferred tax liabilities	—	—	—
Net deferred tax assets	$ 729	$ 875	$ 1,000

The Company has claimed a valuation allowance at the end of the year sufficient to reduce its net deferred tax asset to $729, the amount considered more likely than not to be utilized. The Company had net deferred tax assets of $875 and $1,000 as of December 31, 2008 and 2007, respectively, computed on the same basis.

Uncertain Tax Positions

The accounting for uncertainty in income taxes requires a more-likely-than-not threshold for financial statement recognition and measurement of tax positions taken or expected to be taken in a tax return. Upon adoption of this principle, effective January 1, 2007, the Company derecognized certain tax positions that, upon examination, more likely than not would not have been sustained as a recognized tax benefit. However, to date the adoption has had no material effect on the Company's financial position, operations or cash flow. As a result of derecognizing uncertain tax positions, the Company recorded a reduction in its deferred tax assets of approximately $13,100, attributable to unrecognized tax benefits of $24,000 associated with prior years' tax losses, which are not expected to be available primarily due to change of control usage restrictions, and a reduction in the rate of the tax benefit associated with all of its tax attributes.

Due to the Company's historic policy of applying a valuation allowance against its deferred tax assets, the effect of the above was an offsetting reduction in the Company's valuation allowance. Accordingly, the above reduction had no net impact on the Company's financial position, operations or cash flow. As of December 31, 2009, the unrecognized tax benefit has been determined to be $12,059, a decrease of $1,079 from the assessment as of December 31, 2008. The decrease primarily reflects an adjustment of the Company's assessment of historical loss carryforwards that meet the "more likely than not" threshold for usage in the future The following table summarizes the activity related to gross unrecognized tax benefits of the Company from January 1, 2009 to December 31, 2009:

Beginning unrecognized tax benefit	13,138
Increase (decrease) related to prior year positions	(1,079)
Increase (decrease) related to current year positions	—
Ending unrecognized tax benefit	$ 12,059

In the unlikely event that these tax benefits are recognized in the future, there should be no impact on the Company's effective tax rate, unless recognition occurs at a time when all of the Company's historic tax loss carryforwards have been utilized and the associated valuation allowance against the Company's deferred tax assets has been reversed. In such circumstances, the amount recognized at that time should result in a reduction in the Company's effective tax rate.

The Company's policy is to recognize accrued interest and penalties related to unrecognized tax benefits in income tax expense. Because the Company has tax loss carryforwards in excess of the unrecognized tax benefits, the Company did not accrue for interest and penalties related to unrecognized tax benefits either upon the initial derecognition of uncertain tax positions or in the current period.

It is possible that the total amount of the Company's unrecognized tax benefits will significantly increase or decrease within the next 12 months. These changes may be the result of future audits, the application of "change in ownership" rules leading to further restrictions in tax losses arising from changes in the capital structure of the Company and/or that of its parent company Counsel, reductions in available tax loss carryforwards through future merger, acquisition and/or disposition transactions, failure to continue a significant level of business activities, or other circumstances not known to management at this time. At this time, an estimate of the range of reasonably possible outcomes cannot be made.

The Company has a history of incurring annual tax losses since 1991. All loss taxation years remain open for audit pending the application of the respective tax losses against income in a subsequent taxation year. In general, the statute of limitations expires three years from the date that a company files a tax return applying prior year tax loss carryforwards against income for tax purposes in the later year. The Company applied historic tax loss carryforwards to offset debt forgiveness in 2006 and income for tax purposes in 2008, respectively. The 2005 through 2009 taxation years remain open for audit.